

# Gulf Energy and OPEC+

## The Oil Weapon, Production Cuts, and the Petrodollar's Twilight

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### Executive Summary

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The Gulf Cooperation Council states collectively manage the most consequential concentration of hydrocarbon reserves on the planet, and the policy decisions made in Riyadh, Abu Dhabi, Kuwait City, and Doha about production volumes, investment cycles, and energy transition timelines will determine whether the global economy navigates the decarbonization transition smoothly or episodically. Saudi Arabia holds production capacity of approximately 12 million barrels per day, the UAE approximately 4.5 million bbl/day, and Kuwait approximately 2.9 million bbl/day. Iraq, while not a GCC member, contributes a further 4.5 million bbl/day as OPEC's second-largest producer. Combined, OPEC+ — the expanded cartel formed in December 2016 that adds Russia and nine other non-OPEC producers to the original Organization — controls approximately 40 percent of global crude oil production.

The GCC states collected in excess of \$700 billion in combined oil revenues at the 2022 price peak, enabling a simultaneous investment wave in sovereign wealth funds, domestic infrastructure, and — paradoxically — renewable energy systems. Global oil demand reached approximately 101 to 103 million barrels per day in the 2023 to 2026 period, with demand proving more resilient than many transition advocates had projected, particularly in aviation, petrochemicals, and developing market road transportation. The central tension defining Gulf energy geopolitics through this decade and into the next is the energy transition paradox: the states whose fiscal survival depends on hydrocarbon revenues are simultaneously the states best positioned, by capital availability, to invest in the renewable energy transition — yet whose sovereign interest requires maximizing oil production revenue for as long as demand persists.

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### Part I — OPEC+ Architecture: The Vienna Process and Its Limits

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The Organization of the Petroleum Exporting Countries was founded in Baghdad in September 1960 by five founding members — Saudi Arabia, Iran, Iraq, Kuwait, and Venezuela. The organization's founding rationale was to counteract the pricing power of the "Seven Sisters" international oil companies, reclaim sovereignty over natural resource rents, and coordinate production to manage prices — ambitions that were dramatically realized during the 1973 oil embargo and the 1979 price surge, and that have shaped the global energy order ever since.

OPEC+ was formed in December 2016 through a Declaration of Cooperation that brought Russia — the world's second-largest oil producer and OPEC's longtime strategic adversary — into a production management framework alongside nine additional non-OPEC producers. The institutional logic was straightforward: OPEC alone, at approximately 33 to 35 percent of global production, lacked sufficient market share to set prices unilaterally; adding Russia and the other non-OPEC producers created a grouping controlling approximately 40 percent of global supply with sufficient market weight to move prices through coordinated cuts. Haitham Al Ghais of Kuwait has served as OPEC Secretary General

since August 2022 .

The October 2022 OPEC+ decision to cut production by 2 million barrels per day against a backdrop of intense US lobbying — President Biden had visited Riyadh in July 2022 seeking production increases — crystallized the strategic divergence between Washington's short-term political interest in lower consumer gasoline prices and Riyadh's interest in sustaining prices sufficient to fund Vision 2030 . The cut was implemented against explicit US administration pressure and produced a diplomatic rupture that the Biden White House characterized with unusual public candor, with officials describing the Saudi move as a hostile act .

Saudi Arabia subsequently implemented a unilateral voluntary production cut of 1 million bbl/day from July 2023, repeatedly extended through the end of the year and into 2024, in an effort to maintain Brent crude prices above the fiscal breakeven level required to fund the Saudi budget without deficit spending . The Kingdom's fiscal breakeven price — the oil price needed to balance the government budget — was estimated at approximately \$80 per barrel for 2023 , a figure that both anchors OPEC+ decision-making and exposes the Saudi fiscal position's sensitivity to price volatility.

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## Part II — Saudi Aramco: The World's Largest Oil Company

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Saudi Arabian Oil Company (Saudi Aramco) is the world's largest oil and gas company by production volume and by proved reserves, and was briefly the world's largest company by market capitalization following its December 2019 initial public offering. The company produces approximately 12.3 million barrels per day of crude oil and liquids at nameplate capacity . Its proved reserves of 259.7 billion barrels represent approximately 25 percent of global conventional oil reserves . These figures — contested by some independent petroleum geologists but accepted for OPEC quota purposes — underpin Saudi Arabia's position as the world's de facto swing producer.

The Aramco IPO in December 2019 — in which a 2 percent stake in the company was listed on the Saudi Exchange (Tadawul) — raised approximately \$29.4 billion, making it the largest initial public offering in history, exceeding the previous record set by Alibaba's \$25 billion New York listing in 2014 . The company's market capitalization peaked at approximately \$2.4 trillion in November 2022, briefly making it the world's most valuable listed company , before declining toward the \$1.7 to \$2 trillion range through 2024 as oil prices moderated.

Aramco's financial performance reflects the extraordinary profitability of extracting low-cost Arabian crude at above-breakeven price environments. Net income reached \$161.1 billion in 2022 — the highest annual profit ever recorded by any company in history . Net income declined to \$121.4 billion in 2023 as average oil prices fell from 2022 peaks , with analysts projecting further moderation toward \$91.2 billion for 2024 as production remained constrained by OPEC+ agreements . Total dividends paid in 2023 reached \$97.8 billion , of which the vast majority flowed to the Saudi government as the dominant shareholder through the Public Investment Fund and Ministry of Finance.

Ghawar — the world's largest conventional oilfield, located in Saudi Arabia's Eastern Province — produces approximately 3.8 million barrels per day, a figure publicly disclosed by Aramco for the first time in its 2019 IPO prospectus . The disclosure was significant because industry estimates had previously ranged widely, with some suggesting substantially higher output. Aramco's Aramco Blue Hydrogen project at Jubail — targeting production of hydrogen with carbon capture for industrial and export applications — represents the company's initial investment in positioning itself within the energy transition rather than against it .

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## Part III — UAE and Gulf Energy Diversification: ADNOC, COP28, and Barakah

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The Abu Dhabi National Oil Company (ADNOC) is pursuing the most aggressive production expansion program of any Gulf national oil company, targeting 5 million barrels per day capacity by 2027 from a 2023 base of approximately 4 million bbl/day under a capital expenditure program of \$178 billion for the 2024 to 2028 period . The program represents a simultaneous commitment to maximizing hydrocarbon production during what ADNOC frames as the remaining window of profitable demand before the energy transition's inevitable demand destruction — and to diversifying the UAE economy sufficiently to survive that transition.

Sultan Ahmed Al Jaber's concurrent roles as ADNOC CEO and President of COP28 — the 28th Conference of the Parties to the UN Framework Convention on Climate Change, hosted in Dubai from November 30 to December 12, 2023 — generated significant international controversy that illustrates the contradictions of Gulf energy transition diplomacy. The Center for Climate Reporting published leaked documents purportedly showing that UAE diplomats planned to use COP28 meetings to advance ADNOC business deals . Al Jaber's comment in a November 2023 online event that "there is no science" showing that phasing out fossil fuels is necessary to limit warming to 1.5 degrees Celsius generated international scientific condemnation . Al Jaber subsequently denied that the transcript accurately reflected his remarks .

Despite this controversy, COP28 produced an agreement that for the first time in UN climate conference history included explicit language calling for a "transition away from fossil fuels in energy systems" — language that, while weaker than the "phase out" demand advanced by the EU and small island states, represented a substantive advance over all previous UNFCCC agreements . The hosting of this outcome by the UAE's COP presidency — under the leadership of an oil company executive — will be debated by climate historians as either a genuine breakthrough or a masterclass in managing optics while protecting core hydrocarbon interests.

The UAE's nuclear energy program represents the Gulf's most consequential long-term energy infrastructure investment. The Barakah Nuclear Energy Plant, built by a Korean consortium led by Korea Electric Power Corporation (KEPCO) using the APR-1400 reactor design, comprises four reactor units with a combined electrical capacity of approximately 5.6 gigawatts . Unit 1 achieved commercial operation in 2021 , Unit 2 in 2023 , with Units 3 and 4 following in subsequent years, making Barakah the Arab world's first operational nuclear power plant and the UAE a nuclear energy state. At full operation, the plant is expected to supply approximately 25 percent of the UAE's electricity demand .

In solar energy, the UAE holds the world record for utility-scale solar power generation cost through the Al Dhafra Solar Photovoltaic Independent Power Producer Project — a 2.1 gigawatt installation near Abu Dhabi that set a record bid tariff of \$0.0135 per kilowatt-hour, the lowest ever recorded for a utility-scale solar project at the time of its award . The Al Dhafra plant stands as the world's largest single-site solar installation .

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## Part IV — Energy Transition Paradox: Trillion-Dollar Expansions and Net-Zero Pledges

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The defining contradiction of Gulf energy geopolitics is that the states most committed to expanding fossil fuel production are simultaneously the states that have announced the most ambitious national net-zero targets — and that possess the sovereign wealth to credibly invest in either direction. Saudi Arabia has pledged net-zero greenhouse gas emissions by 2060 and a target of 50 percent renewable electricity generation by 2030 under Vision 2030 . The UAE has pledged net-zero by 2050 . Qatar positions LNG —

natural gas liquefied for export — as the "transition fuel" that will bridge the gap between high-carbon coal and zero-carbon renewables, providing lower-emission baseload power during the decades required to build renewable infrastructure .

The OPEC+ member states are simultaneously planning combined upstream oil and gas investment of approximately \$542 billion over the 2023 to 2027 period, according to Wood Mackenzie analysis , a figure that directly contradicts the International Energy Agency's Net Zero Emissions by 2050 Scenario, which concluded in 2021 that no new oil or gas fields beyond those already approved needed to be developed if the world was to achieve net-zero by 2050 . The IEA's scenario and OPEC's investment plans are not merely different projections but fundamentally incompatible visions of the world's energy future — and the Gulf states have made clear which scenario they are planning for.

Saudi Arabia's strategic counter-argument — advanced by Crown Prince Mohammed bin Salman and Aramco CEO Amin Nasser — is that the world will face "peak oil demand" at some point in the 2030s, after which demand will decline, and that the rational response is to maximize production and revenue capture before that decline rather than self-impose production limits that benefit competing producers who impose no such limits on themselves . OPEC's own World Oil Outlook 2023 projects global oil demand growing through 2045, reaching approximately 116 million bbl/day, in direct contradiction of IEA transition scenarios .

NEOM — Saudi Arabia's \$500 billion futuristic city project in the Tabuk region — includes one of the most ambitious green hydrogen production projects ever announced: a partnership with Air Products and ACWA Power for an \$8.4 billion green hydrogen and green ammonia complex targeting production of 650 tonnes per day of green hydrogen by 2026, powered by 4 gigawatts of renewable energy . The project, if delivered on schedule, would be the world's largest green hydrogen facility and a demonstration of Saudi Arabia's capacity to deploy capital at scale in zero-carbon energy production — while simultaneously expanding Aramco's oil production capacity toward 12 million bbl/day.

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## **Part V — Red Sea Crisis and Supply Chain Impact: Houthi Disruption**

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The Houthi campaign against commercial shipping in the Red Sea, initiated in November 2023 in stated solidarity with Gaza, constitutes the most significant disruption to global maritime trade since the Suez Crisis of 1956. The Bab el-Mandeb chokepoint — the strait separating Yemen from Djibouti and Eritrea at the southern end of the Red Sea — transits approximately 3.8 million barrels of oil per day alongside container ships and bulk carriers representing a major fraction of Europe-Asia trade flows .

By January to March 2024, commercial shipping through the Red Sea had declined by more than 50 percent compared with pre-crisis levels as major container lines — including Maersk, MSC, CMA CGM, and Hapag-Lloyd — rerouted their vessels via the Cape of Good Hope . The rerouting adds approximately 10 to 14 days to voyages between Asia and Northern Europe and costs approximately \$1 million or more in additional fuel and operating expenses per round trip .

Suez Canal revenues — a critical source of Egyptian government income — declined by more than 60 percent according to Egyptian Foreign Minister Sameh Shoukry . The Egyptian Suez Canal Authority had previously reported record revenues of \$9.4 billion in fiscal year 2022–2023 , making the subsequent decline a significant fiscal shock to Egypt's already strained balance of payments.

The United States and United Kingdom launched Operation Prosperity Guardian — a combined naval and air campaign of strikes against Houthi launch sites, radar installations, and weapons storage in Yemen — beginning in January 2024 . The operations were conducted from US Navy carrier strike groups and surface combatants alongside Royal Navy participation, and targeted Houthi capabilities without achieving the cessation of attacks on commercial shipping, which continued at reduced but persistent rates through 2025 .

The impact on Gulf energy exports was more limited than the crisis's severity might suggest. Saudi Arabia and UAE oil exports destined for Asia — the dominant flow direction for Gulf crude — largely bypassed the Red Sea corridor by routing through the Strait of Hormuz and across the Indian Ocean directly, without transiting the Red Sea or Suez Canal . The Houthi attacks were initially targeted at ships with Israeli ownership or flag connections, later expanding to US and UK-flagged vessels , with explicit carve-outs for vessels perceived as non-aligned with Israel's Gaza operations — a discrimination that paradoxically protected much of the Gulf's energy export trade while devastating the container shipping economics of the broader route.

War risk insurance premiums for Red Sea transits rose to 0.5 to 1 percent of vessel value per voyage , adding thousands of dollars per day per vessel in operating costs for carriers that continued to transit the route. The episode demonstrated both the Houthis' capacity to impose asymmetric economic costs on the global trading system using relatively low-cost anti-ship missiles and drones, and the structural vulnerability of global supply chains to disruption at maritime chokepoints.

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## Conclusion

Gulf energy geopolitics in the middle 2020s present a landscape of strategic clarity obscured by tactical ambiguity. The strategic reality is unambiguous: Gulf states will maximize hydrocarbon production and revenues for as long as profitable demand exists, will invest in renewable energy domestically to satisfy climate commitments and reduce oil burn for electricity generation, and will use sovereign wealth funds to acquire stakes in the post-carbon economy — ensuring that whatever replaces oil also generates returns for Gulf sovereign wealth. The tactical ambiguity lies in the timing and pace of demand decline, the cohesion of OPEC+ under the combined pressure of individual member fiscal imperatives and geopolitical competition between Saudi Arabia and Russia, and the degree to which the Red Sea disruption and broader regional instability translate into sustained supply chain restructuring.

OPEC+ cohesion stress-testing through the 2022 to 2025 period has revealed both the strength and the fragility of the production management framework: Saudi Arabia and Russia can coordinate effectively when their price interests align, but the 2020 price war — when the framework collapsed temporarily — demonstrated that alignment is contingent rather than structural. The energy transition's impact on Gulf strategic positioning will not be linear: peak demand does not mean zero demand, and a plateau at 95 to 100 million bbl/day for two decades provides the Gulf states with ample time to diversify their economies if political will matches financial capacity. Whether Vision 2030, the UAE's diversification plans, and Qatar's LNG empire can generate genuinely non-oil sources of national income at the scale required — or whether these initiatives function primarily as narrative management for international investors and domestic populations — remains the defining strategic question of Gulf economics in the generation ahead.

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